INDIAN LAW & DEALMAKING · 4 OCTOBER 2026

Five moves shaping the board now.

- Supreme Court curbs NCLAT overreach in CIRP fraud recalls
- ED arrests Ozone Urbana CMD over ₹927 crore homebuyer fraud
- NCLAT enforces strict IBC deadlines to mandate liquidation
- SEBI finalizes closing auction rules to curb derivative manipulation
- NCLAT Chennai halts Baron Infotech resolution plan execution

SWIPE →

INSOLVENCY · SUPREME COURT

SC Restricts Automatic CIRP Termination on Fraud Recalls

On October 3, 2026, the Supreme Court in the Greenopolis Residential Project case set aside an overreaching NCLAT order. Justices Pamidighantam Sri Narasimha and Alok Aradhe ruled that NCLT recall of a Section 9 admission based on fraudulent jurisdictional facts does not automatically terminate the entire CIRP.

THE READ

Boards and insolvency professionals gain protection against wholesale CIRP collapses driven by isolated initial filing defects. The ruling ensures that valid creditor claims remain protected under statutory oversight even when individual petitions face fraud recalls.

ENFORCEMENT · SPECIAL PMLA COURT

Ozone Urbana CMD Remanded Over ₹927 Crore Fraud

On October 3, 2026, the Special PMLA Court in Bengaluru remanded S. Vasudevan, CMD of Ozone Urbana Infra Developers, to 14 days of ED custody. The Enforcement Directorate arrested him under Section 19 of the PMLA for allegedly defrauding homebuyers of ₹927.22 crore and diverting project assets across jurisdictions.

THE READ

Developers and lenders face heightened enforcement risk as criminal money-laundering probes directly target executive management for asset diversion. Promoters can no longer rely on corporate shields to insulate personal assets from PMLA attachments.

INSOLVENCY · NCLAT

NCLAT Mandates Liquidation Upon Expiry of CIRP Deadlines

On October 3, 2026, the NCLAT ruled in a dispute between a suspended partner and the Committee of Creditors that Section 33(1)(a) requires mandatory liquidation upon CIRP expiry. The tribunal held that post-expiry CoC votes or extension requests are legally untenable without an approved plan.

THE READ

Resolution applicants and CoCs must strictly adhere to statutory timelines rather than expecting procedural leeway post-expiry. General counsel should treat the 330-day CIRP limit as a absolute firewall to avoid mandatory asset liquidation.

CAPITAL MARKETS · SEBI

SEBI to Finalize Closing Auction Framework for Derivatives

On October 3, 2026, SEBI announced the imminent rollout of a regulatory framework governing the Closing Auction Session mechanism. The regulator processed over 3,500 public comments to establish settlement price determination models on derivative expiry days.

THE READ

Institutional dealmakers and trading desks must adjust derivative execution models to accommodate structured closing price auctions. The mandatory pricing rules aim to eliminate end-of-day price manipulation and mitigate expiry-day market volatility.

RESTRUCTURING · NCLAT CHENNAI

NCLAT Stays Baron Infotech Resolution Plan Implementation

On October 3, 2026, the NCLAT Chennai Bench issued an interim status quo order on the NCLT-approved resolution plan for Baron Infotech Limited. The order followed a Section 61 appeal by an unsuccessful resolution applicant, staying further execution until November 3, 2026.

THE READ

Successful resolution applicants face extended execution delays and capital lock-ins when operational implementation is stayed on appeal. Dealmakers must factor litigation stay risks into acquisition timelines and capital deployment strategies.

THE THROUGH-LINE

Across insolvency forums and regulatory bodies, Indian commercial jurisprudence is demanding strict procedural compliance while expanding state enforcement against corporate fraud. Courts are simultaneously enforcing immutable statutory deadlines and clamping down on fraud-driven asset diversion to protect market integrity. Dealmakers and boards must align governance frameworks with this heightened regulatory scrutiny and unwavering procedural discipline.

OWN THE BRIEF

Get this brief every day, before the feed does.

Free. One message a day. No noise.

SCAN THE CHANNEL YOU USE →

WhatsApp Channel
whatsapp.com/channel

Telegram Channel
t.me/tarkabrief